

negligence for pure economic losses in deference to a contract between litigating parties.” [Citations.] The Restatement states this form of the economic loss rule as follows: “[T]here is no liability in tort for economic loss caused by negligence in the performance or negotiation of a contract between the parties.” ` ` (*Dhital, supra*, 84 Cal. App. 5th at 837–38.) The ELR does not limit recovery for intentional tort claims like fraudulent inducement if the plaintiff can plead the elements independent of the contract. (*Id.*, at 839.)

As Plaintiff has pled the elements of fraudulent inducement independent of the contract, the economic loss rule does not apply. The demurrer is **OVERRULED** regarding the economic loss rule.

B) Motion to Strike

Defendant’s Motion to Strike is **DENIED**.

A party may move to strike a portion of the complaint, which the court may grant at its discretion to strike out any irrelevant, false, or improper matter inserted in any pleading or any part of any pleading not drawn or filed in conformity with the laws of this state. (Civ. Proc. Code §§ 435(b)(1) and 436.)

Defendant requests the court strike the following from the Prayer in FAC:

- “e. For punitive damages;” (FAC at p. 12:17.)

Defendant’s initial argument is the fraud cause of action of the FAC is barred by the ELR and the fraudulent concealment cause of action is uncertain and does not state sufficient facts. These arguments were not compelling as noted in the demurrer analysis above. Plaintiff has sufficiently pled a cause of action for fraud, which would support a punitive damage claim under Civ. Code § 3294(c). Punitive damages under Civ. Code § 3294 may not be recoverable for a breach of contract, however they are available where a defendant fraudulently induces the plaintiff to enter into a contract. (*Walker v. Signal Companies, Inc.* (1978) 84 Cal. App. 3d 982, 996; *Las Palmas Assocs. v. Las Palmas Ctr. Assocs.* (1991) 235 Cal. App. 3d 1220, 1238–39.)

As: 1) Plaintiff has pled a viable cause of action for fraud; 2) the punitive damage request may be based upon that fraud cause of action for acts Defendant took to induce a Plaintiff to purchase/lease the vehicle; and 3) as punitive damages under Civ. Code § 3294 may be recovered for acts taken to fraudulently induce a Plaintiff into the purchase/lease of the vehicle, the punitive damage request is viable.

The motion is **DENIED**.

Plaintiff to give notice.

13	Rojas v. Alamirad Dental Corp	Before the Court are the following motions on the cross-complaint ("XC") of cross-complainants Farzan Alamirad ("Alamarid") and Alamarid Dental Corp. APC ("Alamarid Dental"): 1) demurrer filed by cross-defendant Elizabeth Rojas ("Rojas"); 2) demurrer filed by cross-defendants Kevin Badii, DDS and Compass PCG, LLC ("B/C") and joinder by Rojas; 3) demurrer and motion to strike filed by cross-defendant Ali Imani ("Imani"). For the reasons set forth below, each of the three demurrers is SUSTAINED with 20 days' leave to amend. The motion to strike is moot. A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (Code of Civ. Proc. § 430.10, subd. (e).) A special demurrer lies where a pleading is uncertain, ambiguous and unintelligible. (Code of Civ. Proc. § 430.10, subd. (f).) A special demurrer also lies where there is a defect or misjoinder of parties. (Code of Civ. Proc. § 430.10, subd. (d).) <u>Demurrer by Rojas:</u> The cross-complaint by Alamirad Dental is defective because Alamirad cannot bring the action "on behalf of Alamirad Dental Corp.," as doing so would constitute the unauthorized practice of law. (Bus. & Prof. Code § 6125.) In addition, the legal theories for "intentional interference with business relations" and "stealing business secrets" are vague and ambiguous. To the extent Alamirad intended to allege intentional interference with contractual relations and/or misappropriation of trade secrets, the elements of such claims are not properly alleged. (<i>Quelimane Co. v. Stewart Title Guaranty Co.</i> (1998) 19 Cal.4th 26, 55 [elements of intentional interference with contractual relations]; <i>Silvaco Data Systems v. Intel Corp.</i> (2010) 184 Cal.App.4th 210, 220 [elements].) The elements of fraud are not pleaded with the requisite specificity. (<i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 32 [elements]; <i>Lazar v. Sup. Ct. (Rykoff-Sexton, Inc.)</i> (1996) 12 Cal.4th 631, 645 [fraud must be pled with specificity].) The claims for conversion and breach of fiduciary duty appear to belong to the corporation, not Alamirad individually; the claims by the corporation are defective as set forth above. Alamirad failed to oppose the demurrer, thereby conceding the merits. (<i>Herzberg v. County of Plumas</i>, (2005) 133 Cal.App.4th 1, 20; <i>DuPont Merck Pharmaceutical Co. v. Sup. Ct.</i> (2000) 78 Cal.App.4th 562, 566.) The demurrer is therefore SUSTAINED with 20 days' leave to amend. <u>Demurrer by B/C:</u> A cross-complaint against anyone other than the plaintiff must relate to the subject matter or transaction alleged in the plaintiff's
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